

Understanding Japan's Debt Crisis

An Educational Workbook for Informed Investors

⚠️ IMPORTANT EDUCATIONAL DISCLAIMER:

This workbook is for educational purposes only. It is NOT financial advice. We are not recommending that you buy or sell any specific investments. Always consult with a qualified financial advisor before making investment decisions. All investing involves risk, including potential loss of principal.

What You'll Learn in This Workbook

This workbook accompanies the video about Japan's debt crisis and helps you understand why global bond markets matter to YOUR investments—even if you've never bought a Japanese bond.

You'll discover:

- Why Japan's \$20 trillion problem affects your portfolio
- How the "carry trade" works in simple terms
- What to watch for in the coming weeks
- How to think about protecting your investments during uncertain times

Key Concepts to Remember

Debt-to-GDP Ratio: This tells you how much debt a country has compared to how much their economy produces in a year. Japan's is over 250%—meaning if Japan were a person earning \$50,000, they'd owe over \$125,000.

Bond Yields: Think of this as the interest rate the government pays you for lending them money. When yields go UP, bond prices go DOWN—and that can cause problems for investors who own those bonds.

Carry Trade: A strategy where investors borrow money in a country with low interest rates (like Japan at 0%) and invest it in countries with higher rates (like the US at 4-5%). This works great until the low-rate country raises their rates.

What Happened Recently?

In January 2026, Japan's 30-year government bonds hit a yield of **3.91%**—the highest level since these bonds were created in 1999. This happened so fast that it's being called a "six-standard-deviation move"—something that statistically should happen once every million years!

On the same day, the US stock market lost **\$1.2 trillion** in value. This isn't a coincidence.

Test Your Understanding

Fill in the Blanks

Use information from the video to complete these sentences:

1. Japan's debt-to-GDP ratio is over %, which is more than double the United States' ratio.

2. Japan owns approximately trillion dollars in US Treasury bonds, making them one of the largest foreign holders of US debt.

3. The Bank of Japan raised their policy rate to % in December 2025, the highest level since 1995.

4. The critical date to watch is , when Japan holds a snap election.

5. Jeffrey Gundlach (known as the "Bond King") recommends keeping at least % of your portfolio in cash right now.

Critical Thinking Questions

Question 1:

Explain in your own words: How does the carry trade work? Why would investors want to do this?

Question 2:

Why does Japan raising interest rates affect US stock markets? What's the connection?

Question 3:

The video mentioned that a traditional 60/40 portfolio (60% stocks, 40% bonds) might not protect investors this time. Why not? What's different about this situation?

Your Portfolio Assessment

Remember: These questions are designed to help you THINK about your investments, not to give you specific advice. Always consult a qualified financial advisor before making changes to your portfolio.

Understanding Your Current Position

Reflection 1:

What percentage of your portfolio is currently in cash or money market funds? (This is your "dry powder" for opportunities or emergencies)

Reflection 2:

Do you know which specific investments you own? List your top 5 holdings (or the main funds/ETFs you're invested in):

Reflection 3:

Based on what you learned in the video, which of your investments might be most affected by rising interest rates? (Think about: tech stocks, high-debt companies, bonds, real estate)

Defensive vs. Growth Allocation

The video discussed different types of investments that might perform differently when interest rates rise. Rate yourself on these categories:

Investment Type	Do I Own This? (Yes/No)	Percentage of Portfolio
Energy companies (oil, gas)		
Gold or precious metals		
Quality tech with low debt		
Consumer staples (Coke, P&G, Walmart)		
Banks or financial companies		
High-debt or unprofitable companies		

Reflection 4:

After watching the video and filling out this table, what surprised you most about your current portfolio allocation?

Your Action Checklist

Educational Exercise: This checklist is for learning purposes to help you understand what informed investors think about during market volatility. This is NOT a recommendation to take these specific actions. Always consult with your financial advisor.

Immediate Awareness Actions

These are things to understand and monitor (not necessarily actions to take):

- ☐ Log into your investment accounts and review what you actually own
- ☐ Calculate what percentage of your portfolio is in cash vs. invested
- ☐ Identify if you have any variable-rate debts (loans where the interest rate can change)
- ☐ Research whether your portfolio is heavily concentrated in one sector (like technology)

Key Dates & Levels to Watch

These are important dates and warning signs mentioned in the video:

What to Watch	Key Level/Date	Why It Matters
February 8, 2026	Japanese election	Results could determine government spending plans
Japan 10-year bond	Above 2.5%	Shows increasing stress in Japanese bond market
US 10-year Treasury	Above 4.5%	Danger zone for US borrowing costs
US 30-year Treasury	Above 5.0%	Psychological breaking point
Dollar/Yen exchange	Above 162	May trigger government intervention

Questions to Discuss with Your Financial Advisor

If you work with a financial advisor, these are good questions to ask:

- ☐ How is my portfolio positioned if interest rates continue rising?
- ☐ Do I have adequate diversification across different sectors?
- ☐ Should I consider increasing my cash allocation given current market conditions?
- ☐ Are any of my holdings particularly sensitive to global bond market moves?
- ☐ What is our plan if markets become more volatile in the coming months?

Continuing Education

- ☐ Set up Google Alerts for "Japan government bonds" and "Treasury auction" to stay informed
- ☐ Follow credible financial news sources for updates on this developing situation
- ☐ Review your portfolio at least monthly during periods of market uncertainty
- ☐ Keep learning about how different investments react to rising interest rates

Continue Your Investment Education

Ready to Build Your Investment Knowledge?

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